Revision Date:
March 1, 2025

Background:
The term amount of aid refers to the cash aid granted to the Assistance Unit (AU) for a given month. When an aid amount is less than $10 but more than $0, the aid will not be issued to the customer but this is not a basis for denial or discontinuance. The CalWORKs case may remain active.

Purpose:
The purpose of this revision is to include changes to the continuing Financial Eligibility Test regulation per Assembly Bill (AB) 172. AB 172 implements using the Net Non-Exempt Income (NNI), instead of gross income, when determining whether the AU remains financially eligible for CalWORKs. When an AU's income exceeds the Maximum Aid Payment (MAP), but their NNI remains below the Tier 2 Income Reporting Threshold (IRT), the AU may be eligible for a Zero Basic Grant (ZBG) and their CalWORKs case will remain open.

Policy:
Staff are responsible for computing the amount of aid at application, annual redetermination, and when there is a change in income or other factors affecting the amount of aid to which the customer is eligible. The amount of aid is determined by computing the AU's NNI and subtracting it from the MAP for the AU. For more information on income calculation, refer to CalWORKs Program Guide (CPG) 44-100.K Income Eligibility.

MAP
The MAP is a set value determined in the Welfare and Institution Code (WIC) Section 11450. The MAP for each AU is based on all family members whose needs are considered in the payment month. There are two MAP levels: the higher level for an exempt AU and a lower MAP level for a non-exempt AU.

An AU is considered exempt when at least one of the following conditions are met:
- The non-parent caretaker relative is not included in the AU (non-needy caretaker relative).
- Each parent (including minor parent, aided stepparent, and needy caretaker relative) is disabled and is receiving one of the following:
  - Supplemental Security Income (SSI)/State Supplemental Payments (SSP).
  - In-Home Supportive Services (IHSS).
  - State Disability Insurance (SDI).
  - Temporary Worker's Compensation (TWC).
  - Temporary Disability Indemnity (TDI).
- An AU without aided children and each parent is receiving any of the disability benefits mentioned above and the child is excluded due to:
  - Receiving SSI/SSP.
  - Employment Services (ES) sanction.
  - Receiving Foster Care.
- The AU is a Pregnancy Person Only (PPO) case and the parent receives any of the disability benefits mentioned above.
- Each adult or parent of a child is aided under Refugee Cash Assistance (RCA).

An AU is considered a non-exempt AU when none of the criteria above is met. Refer to CPG 45-200 CalWORKs Assistance Standards Chart, for the MAP table.

The MAP level is determined at the following times:
- Initial application.
- Annual redetermination.
- When an Eligibility Status Report (SAR 7) is processed and there is a change reported that could affect the AU status.
- When adding a person to the AU.
- When the customer requests a review of the AU status.
- When the customer reports a change related to the AU status.
- When an AU member is determined to be exempt from ES participation due to an incapacity or are required to provide care to another person in the household.

When the AU status changes between exempt and non-exempt MAP, the following will be applied:
- When the change is reported on the SAR 7, the change in MAP level will be effective the first day of the next Semi-Annual Reporting (SAR) payment period.
- When the change is reported mid-period and the change will increase the grant amount, the change in MAP level will be effective the first day of the month following the report of the change when the verification has been provided. This applies to SAR households and Annual Reporting/Child Only (AR/CO) households.
- When the change in household composition is reported mid-period for AR/CO households and the change results in a grant decrease, the county must provide the AU timely and adequate notice.
- When the customer requests a review of the AU status mid-period, the MAP status change must not be applied to any months prior to the month to which the request was received. If the change will result in a grant increase, the change will be effective the first day of the month following the report of the change when the verification has been provided.

For more information on mid-period changes in exempt and non-exempt MAP, refer to CPG 44-270.H Voluntary Mid-Period Reports.

ZBG
An aid payment will not be issued when the total monthly grant is less than $10 but more than $0. Although no cash amount will be issued, the AU is considered to have received a cash aid payment and the family will remain eligible to all CalWORKs benefits and services.

ZBG eligibility happens when any of the following occur:
- The grant amount is $10 or less.
- The grant amount for the AU is reduced to zero due to a penalty.
- The grant amount for the AU is reduced to zero to adjust for a prior overpayment.
- The grant based on On-The-Job-Training is diverted to the employer as a wage subsidy to offset the participant’s wages.

When an AU's income exceeds the MAP, but their NNI remains below the Tier 2 IRT, the AU may be eligible for a ZBG. Their CalWORKs case may remain open, and they may remain eligible for CalWORKs supportive services even though they are not eligible for a cash grant.

Note: There is no change to the CalWORKs applicant test requirement. Customers applying for CalWORKs must initially pass the Applicant/Minimum Basic Standards of Adequate Care (MBSAC) Test and then pass the Recipient Test.

Provided all eligibility requirements are met, customers receiving ZBG are eligible to all CalWORKs benefits and services, including:

- Housing and Homeless Assistance.
- ES supportive services including transportation assistance.
- CalWORKs Stage 1 Child Care.
- Pregnancy and other recurring and nonrecurring special needs.
- Home Visiting Program services.
- Eligibility to CalFresh and cash-linked Medi-Cal.

Customers receiving a ZBG are required to adhere to mandatory reporting. Any changes to their household circumstances, including the addition of a new member or changes in income made outside of the SAR 7 and annual redetermination processes, are treated as mid-period reports and would not require a reapplication of aid.

Overpayment

Although customers will not receive grants less than $10, an aid amount of less than $10 can be used to offset an overpayment. When customers receive a grant of $10 or more, and it is later determined the correct entitlement was less than $10, the entire amount is an overpayment.

For more information regarding ZBG, refer to the *Zero Basic Grant Question and Answer* document housed in the CalWORKs SharePoint.

References:

Eligibility and Assistance Standards (EAS): 44-300, 44-315, 89-110
All County Letter (ACL) No.: 19-76, 19-76EII, 23-96
All County Information Notice (ACIN) No.: I-09-98, I-53-20

Sunset Date:

This policy will be reviewed for continuance by March 31, 2028.

Approval for Release:

3-18-25

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Self-Sufficiency Services